

MANEESH AGNIHOTRI

SHOW ME THE MONEY
Opposition leader Akhilesh Yadav

Singh says that he had, way back in 2019, asked in the assembly how many MoUs had been converted on the ground. "In a written reply, they said, 'We are collecting the information'. I am still waiting for the numbers," he says.

But others are hopeful of more optimistic outcomes. Among them is Prof. A.P. Tiwari, an economist and former dean of the Shakuntala Misra University in Lucknow. "No one can deny that the investment climate has changed for the better in the past six years," he says." The CM's Mumbai visit and even the foreign tours have seen very positive response. A strong law and order narrative, infrastructure and a focus on small-to-medium industries (read MSMEs) played an important role in this."

A major reason why some of the projects from previous investor summits got stuck was the unavailability of land. Projects like the Rs 500 crore park for furniture manufacturing in Bareilly and the waste management plant in Pilibhit have been non-starters on this account. This time around, though, the Yogi government has made special arrangements for the investment agreements likely at the current investors' summit. The UP Industrial Area Development Authority (UPIDA) says it has prepared a land bank of more than 12,000 acres for new industries. Of these, 1,139 acres is in Prayagraj, 950 acres in Pilibhit and 1,144 acres in Unnao's Trans Ganga City. Industrial development minister Nand Gopal Gupta 'Nandi' says, "Land use management for industries has been simplified by amending the provisions of the Revenue Code. The provisions related to conversion of agricultural land to non-agricultural land, change of land use, sale of land belonging to SC/STs have all been simplified."

In fact, the Yogi government claims it has implemented 30 new policies to help investors. Abhishek Prakash, CEO of 'Invest UP', an organisation set up exclusively for the purpose, and his deputy, additional CEO Prathamesh Kumar, are in constant touch with industrialists who have signed MoUs to iron out any glitches. For the first time, the entire process related to investment is now online under the direct supervision of the CM's office. Prathamesh says, "Investors can get all necessary clearances through the online portals 'Nivesh Mitra' and 'Nivesh Sarathi', they don't even have to visit government offices." The Nivesh Mitra portal's 'online incentive management system' also makes it easy for investors to avail the benefits under various policies.

"Where is the report card from previous investor summits? There is no investment visible on the ground...it's all just a big zero"

– AKHILESH YADAV,
Ex-CM and SP president

There is, however, another criticism that the government is having to answer for. Most of the investment proposals that have emerged, it seems, are skewed in favour of western UP. Noida and Ghaziabad, which are part of the national capital region (NCR), remain the first choice of investors. This was amply illustrated in the third 'ground-breaking ceremony', organised by the UP government on June 3, 2022. Of the 1,406 projects for which foundation stones were laid with an investment potential of Rs 80,224 crore, 73 per cent were in western UP; the backward Bundelkhand region attracted just 34 proposals. Minister Nandi, though, believes things are looking up. "Investments in the Bundelkhand and Purvanchal region will get a capital subsidy of 15-30 per cent under the state's new Industrial Investment and Employment Promotion Policy, 2022. This will help attract investors," he says.

Of course, behind the makeover of UP is also a chief minister trying to project himself as a 'business-friendly' state CEO. Addressing industry representatives via a televised speech in the second domestic roadshow held in Chennai on January 9, Yogi stressed how UP has emerged as a most investment-friendly state with the stated ideals of good governance, a zero tolerance policy to crime, single window clearance portals et al. "We also have the most modern infrastructure among all states," he claimed while trotting out some figures. UP's GSDP for 2022-2023 was estimated at Rs 21 lakh crore, a 65 per cent increase since 2017 when he took over, Yogi stressed. It's one claim that should go down well with investors of all hues. ■

—with Ashish Misra